

Document 1: Inactive and Dormant Customer Reactivation

Why inactivity matters

Customer inactivity is one of the earliest and most reliable predictors of churn in retail banking. Industry research from McKinsey and Bain consistently shows that a customer who has not transacted in 60 to 90 days is between three and five times more likely to close their account within the next two quarters than an active customer. Inactivity does not mean the relationship has already ended, it means the customer's centre of financial gravity has likely shifted elsewhere, often to a competitor or a digital-only bank, while the account itself remains open as a forgotten or secondary facility.

Diagnostic questions before acting

Before any outreach, the relationship manager should determine the type of inactivity. There are three common patterns. The first is gradual decline, where transaction frequency has been dropping steadily over many months, suggesting the customer is slowly migrating their banking elsewhere. The second is sudden drop-off, where a previously active customer stops transacting abruptly, often triggered by a single negative experience, a life event, or a competitor's aggressive offer. The third is dormant-but-retained, where the customer keeps a small balance out of habit or convenience but has moved their primary banking relationship elsewhere permanently. Each pattern requires a different intervention.

Recommended action sequence

Step one is a low-pressure re-engagement contact within 24 to 48 hours of the inactivity flag being raised. This should never open with a sales pitch. The most effective opening line used by leading retail banks is a simple check-in: asking whether the customer is satisfied with their banking experience and whether there is anything preventing them from using their account. This framing positions the bank as concerned about service quality rather than chasing revenue, which measurably increases response rates in call centre studies.

Step two, if the customer responds and indicates they have simply been busy or have not had a reason to transact, is to present a concrete reason to re-engage. This typically takes the form of a limited-time fee waiver, a bonus on loyalty points for the next three transactions, or a small cash incentive for reactivating a debit order or salary deposit. The incentive should be modest but immediate, since delayed rewards have significantly lower uptake than instant ones in behavioural finance research.

Step three, if the customer indicates they have already moved their primary banking elsewhere, is to shift from reactivation to selective retention. Rather than trying to win back the full relationship immediately, the goal becomes preserving the account as a

secondary relationship while gathering intelligence on why the customer left, which informs broader retention strategy.

Escalation thresholds

If a customer has been inactive for more than 18 months and has a balance under R1,000, the cost of continued retention outreach typically exceeds the expected recovered value, and the account should be moved to a passive monitoring list rather than continued active intervention. If the inactive customer is in the Affluent segment, however, the relationship lifetime value justifies escalation to a senior relationship manager regardless of current balance, since affluent customers who reactivate tend to bring back disproportionately large deposits.

What not to do

Do not send generic mass-marketing emails to inactive customers as a first touch. Industry data shows mass email campaigns to dormant segments convert at under 2 percent, while personalised phone or in-person outreach converts at 15 to 25 percent depending on segment. Do not lead with a cross-sell offer before addressing the root cause of inactivity, as this signals the bank cares more about extracting additional revenue than serving the customer.